

EQUITY RESEARCH · COMPANY DEEP DIVE

Advanced Micro Devices, Inc. (AMD.US)

Technology · Semiconductors

Large Cap (>\$200B) · Report Date: October 05, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-10-05

UNDERWEIGHT

Composite · Valuation: SELL

Target \$508.51 · -19.5% upside

Price \$631.75

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$508.51 (-19.5% vs \$631.75); Comps 85% + Analyst 15% valuation after outlier checks.
- Strong revenue growth; healthy margins; conservative balance sheet; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	SELL	Blended PT \$508.51	45%
FSA	Strong	Health +0.35 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +284%	15%
Composite	UNDERWEIGHT	Score -0.14 · 75% confluence	—

Valuation anchor: -20% upside vs target; valuation rich but trend improving — wait for confirmation; solid financial statement profile.

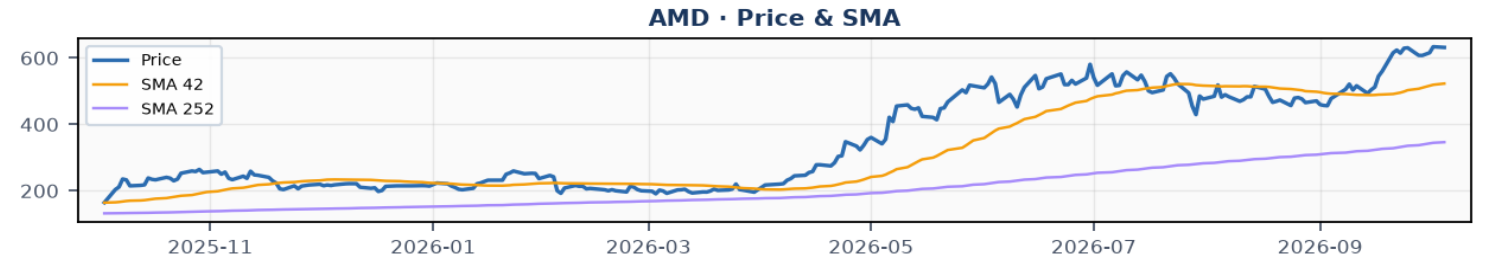
INVESTMENT THESIS / EXECUTIVE SUMMARY

Advanced Micro Devices, Inc. (AMD) — Technology. Advanced Micro Devices, Inc. operates as a semiconductor company internationally. It operates in three segments: Data Center, Client and Gaming, and... **SELL** rating; blended target \$508.51. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$1.03T	Shares Out.	1632.5M
52-Week Range	\$188.22 – \$645.46	P/E (TTM)	161.2x
P/B	15.3x	Beta	2.45
Avg Volume	23.69M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$41.31B	Rev Growth	+50.1%
Op. Margin	17.2%	FCF (TTM)	\$6.74B
Gross Margin	55.7%	ROE	10.2%
EV/EBITDA	107.3x	Debt/Equity	6.4%
EPS (TTM)	\$3.92	Div Yield	0.0%

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	25,785	34,639	51,993	70,617	88,853
Revenue Growth (%)	N/A	34.3%	50.1%	35.8%	25.8%
Net Income (\$M)	1,641	4,335	6,507	8,838	11,120
Gross Margin (%)	49.4%	49.5%	55.7%	55.7%	55.7%
Net Margin (%)	6.4%	12.5%	12.5%	12.5%	12.5%
EPS (\$)	1.01	2.66	3.99	5.41	6.81
P/E (x)	628.47	237.90	158.50	116.70	92.75

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$522.87	Short-term trend	12m Momentum	+283.6%	
SMA (252d)	\$346.39	Long-term trend	3m Momentum	+22.1%	
RSI (14d)	82.5	Momentum oscillator	Ann. Volatility	57.5%	
Trend	Bullish		Sharpe Ratio	0.69	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-65.4%	
Death Cross (20d)	No		Rel. Strength vs SPY	+419.1%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; RSI 82 — overbought zone	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	48.3%	B&H; 75.2%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$56.90	-91.0%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or d...
Comps — Blended	\$488.48	-22.7%	85%	Included in blend
Analyst consensus	\$622.01	-1.5%	15%	Included in blend
Blended target	\$508.51	-19.5%	100%	Comps 85% + Analyst 15%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
17.50%	4.00%	17.53%	\$92.88B	\$56.90	-91.0%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
INTC	Intel Corporation	\$614.19B	N/A	37.9x	-19.8%	+25.4%
QCOM	QUALCOMM Incorporated	\$193.09B	20.9x	16.8x	21.0%	-4.0%
AVGO	Broadcom Inc.	\$1.73T	46.3x	33.1x	42.9%	+85.5%
TXN	Texas Instruments Inco	\$269.32B	44.9x	28.9x	31.1%	+22.8%
AMD*	Advanced Micro Devices	\$1.03T	161.2x	107.3x	15.6%	+50.1%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Trends: Strong top-line growth (50.1% YoY); Healthy operating margins (17.2%); Above-market volatility (β=2.45) · Risks: Premium valuation (P/E: 161.2x); High market sensitivity in downturns Strong revenue growth; healthy margins; conservative balance sheet; positive fcf generation. Source: Yahoo Finance. Not investment advice.